AIESEC INDIA COMPENDIUM

Sub-document

Reserve Policy

This Sub-document covers the different reserves that exist as a part of the AIESEC in India Reserve and Entity Reserve along with their purposes, decision making processes and replenishment processes

AIESEC India Member Committee – Entity Reserve Policy

The MC-LC reserve policies are completely handled by the MC. This reserve exists so as to be used by MC/LCs' in dire circumstances, which are defined below.

1. *Conference Reserve:*

1.1 *Purpose:*

1.1.1. The Conference Reserve is subject to exist for use in times of destruction of property due to the circumstances listed below :

1.1.1.1. In the event of a natural calamity (earthquakes, landslides, floods) which leads to a substantial amount of loss of monetary resources.

1.1.1.2. In the event of a death or a serious injury of an individual at the venue of the conference only in case of an intractable accident

1.2 *Decision Making Process:*

1.2.1 The decision-making process with respect to the utilization of these funds are rested upon the Focus Commission and the Member Committee in a joint manner. The process:

1.2.1.1 The request for utilization of the reserve has to be made in the form of a 'Petition' filed by the Host Entity to the FSC Chair.

1.2.1.2 The MBSC and FSC will based on the recommendation report the focus and the Management team/FTF, Management Team/FTF of the MC will come up with a decision within 24 hours.

1.3 *Reserve- Sustainable increase and refilling:*

1.3.1 The Conference reserve fund shall be subject to increment in the following process:

1.3.1.1 Every LC shall be made liable for payment of INR 5,000 as the aforesaid mentioned amount for increment of the fund. The payment of the calculated amount shall be made bi-annually to the reserve fund as invoiced by the member committee.

1.3.1.2The invoice for the payment of the reserve fund shall be made out with Quarter 2 and Quarter 4 LC payments. Each local chapter is mandated to make the payment within 30 days of the invoice being sent across.

1.4 Definition of Dire Circumstances

"Dire circumstances" shall be defined as situations where at least one of the following conditions is met:

1.4.1 Entity cash/bank balance is insufficient to sustain 1 month of operational expenses
1.4.2 Financial loss exceeding 20% of the ratified budget
1.4.3 Legal notice, liability, or compliance risk requiring immediate financial action
1.4.4 Natural calamity or external event causing operational disruption
1.4.5 Mandatory payments (LC-LC dues) cannot be fulfilled through current liquidity

2. *Disaster Reserves*

2.1 Purpose:

The National Disaster Reserve is subject to exist for use in for the circumstances listed below:

2.1.1 In the event of natural calamities (earthquakes, landslides, floods) : In the event of damage to LC/MC property or accommodation houses managed by the LC.

2.1.2 In the event of outbreak of health issues and spread of pandemic diseases: The reserve can be utilized for covering of sanitation at the LC property or intern houses managed by the local chapter.

2.2 Decision Making Process:

2.2 The decision-making process with respect to the utilization of these funds are rested upon the Focus Commission and the Member Committee in a joint manner. The process:

2.2.1 The request for utilization of the reserve has to be made in the form of a 'Petition' filed by the Entity to the FSC Chair.

2.2.2 The FSC Chair proposes the case along with the recommended measures and suggestions to utilize funds to the Focus Commission. The FSC Chair acts as the representative of the MC.

2.2.3 The request towards utilization of the reserve fund shall be processed in a timely manner by the means of a form, the report for which shall be analyzed and delivered by the FSC to the Focus Commission and MC for approval and voting.

2.3 Additional Specific Clauses:

2.3.1 The amount of concession to be attained from the reserve fund shall be decided on behalf of the report produced by the FSC and the decision of compensation split if any shall be made henceforth.

2.3.2 In times of disasters mentioned above, the member committee along with the focus commission might choose to waive off the administrative fee and other expenses that an LC owes to the MC either by means of complete waiver of the fee or by granting of a deadline. The nature of the redemption and amount of the same shall be decided on the basis of the report presented by the FSC to the MC and the focus commission.

2.3.3 The legislations mentioned above are subject to being approved by means of a vote of all Full Member LCs at a meeting (Virtual or Physical) of the Focus commission and the MC.

2.4 Reserve- Sustainable increase and refilling:

2.4.1 The disaster reserve fund shall be subject to increment in the following process:

2.4.1.1 Every LC shall be made liable for payment of INR 5,000 as the aforesaid mentioned amount for increment of the fund. The payment of the calculated amount shall be made bi-annually to the reserve fund as invoiced by the member committee.

2.4.1.2 The invoice for the payment of the reserve fund shall be made out with Quarter 2 and Quarter 4 LC payments. Each local chapter is mandated to make the payment within 30 days of the invoice being sent across.

3. Operational Reserve:

3.1 Purpose:

3.1.1 The operation Reserve is subject to exist for use in order to cater to the smooth functioning of all the operational needs of and by the MC under certain 'dire circumstances'. These 'dire circumstances' can be quoted as cases where primarily the needs in terms of monetary resources are not met with the available monetary resources. These conditions of 'dire circumstances' can be enlisted as follows:

3.1.1.1 Basic operational needs in the order of sustaining usual operations, which is inclusive of functional needs and requirements. This is subject to the presence of these specific operational needs in the ratified MC budget of the current year.

3.1.1.2 A proposed event (national event) does not have enough funds or resources to proceed with specific needs for the execution of the same in terms of:

3.1.1.2.1 Logistics
3.1.1.2.2 Communications

3.2 Pre payments/ Advance payments Decision Making Process:

3.2.1 The decision-making process with respect to the mobilization of these funds are rested upon the Management Team of the MC. The process:

3.2.1.1 The MCVP Finance calls for a meeting with the Management Team/FTF:

3.2.1.1.1 The MCVP Finance propose the case along with the recommended measures and suggestion to mobilize funds through the operational reserve to the Management team/FTF

3.2.1.1.2 The Management Team/FTF puts the circumstance and the various cases along with the recommended measures for detailed discussions. A collective consensus is hence arrived upon.

3.2.1.1.3 The entire meeting is minuted.

3.2.2 Notification to the Focus Commission:

3.2.2.1 The documents- detailed proposals along with a comprehensive evaluation of various cases, recommended measures and suggestions are sent to the Focus Commission within the 24 hours following the meeting.

3.2.2.2 The minutes of the complete meeting needs to be attached.

3.2.2.3 A detailed action plan with respect to specific timelines and sources of refilling the reserve must be submitted along with the aforementioned documents.

Note: The Focus Commission is only notified regarding the consensus/decision taken with respect to the mobilization of the operational funds.

3.3 Reserve- Sustainable increase and refilling:

3.3.1 Post the mobilization of the funds within a stipulated period of 6 months (from the date of transaction); the fund needs to be restored/refilled to the same amount.

3.3.2 In the case of the reserve being mobilized, the following documents with respect to sustainable refilling must be included, the following:

*3.3.2.1 Case 1:*The Focus Commission must be provided with a detailed action plan with respect to specific timelines and sources of refilling the reserve must be submitted along with the aforementioned documents.

3.3.2.2 Case 2: In the event of the reserve being mobilized over a period of time which includes the outgoing MC team having accessed the reserve (during their term) and the incoming MC team setting up office (Post 1 August); then a specific action plan needs to be submitted for the refilling of the same which must be verified and signed by both the outgoing and incoming MC VP Finance.

3.3.2.3 There are defined cases in order to refill or sustainably increase the reserve. It is on the basis of three primary parameters (these are the terms used in the cases mentioned henceforth):

3.3.2.4 LC Contribution Profit (in the case where the LC contribution towards the MC budget is more than the expenses borne by the MC as mentioned in the ratified MC budget
of the current year)

3.3.2.5 Excess BD Income (in the case where the BD vertical overshoots the Target as mentioned in the ratified MC Budget of the current year)

3.3.2.6 Financial Income(Bank interests, FD interests and TDS)

3.3.2.7 *The defined cases are as follows:*

3.3.2.7.1 *Case1:*
LC Contribution Profit exists but Excess BD Income does not, in that case 10% of the overall profit generated in the MC Calendar year needs to be added needs to be added to the operational Reserve.

3.3.2.7.2 *Case2:*
LC Contribution Profit exists along with Excess BD Income, in that case 10% of the overall profit generated in the MC Calendar year along with 20% of difference between Achieved and Target for BD needs to be added to the operational Reserve.

3.3.2.7.3 *Case3:*
LC Contribution Profit does not exist but Excess BD Income does, in that case 20% of the overall profit generated in the MC Calendar year needs to be added to the operational Reserve.

3.3.2.7.4 *Case4:*
If there is Financial Income, in that case the entire amount needs to be added to the reserve.

4. *Legal Reserve:*

4.1 *Purpose:*

4.1.1 The Legal Reserve is subject to exist for use in order to cater to the existence and firefighting of legal cases borne or addressed by the local offices as well as the national office in order to maintain the credibility of the brand of AIESEC in the country. This use of Finance reserve can and should be used under the following circumstances:

4.1.1.1 Proceedings for any legal case vs and borne by any local office across the Indian network.

4.1.1.2 Proceedings for any legal case vs and borne by the National office of AIESEC India.

4.1.1.3 Any event or dire need for an out-of-case settlement involving the legal cases vs the local offices as well as the national office of AIESEC in India.

4.2 Decision Making Process:

4.2.1 The decision-making process with respect to the mobilization of these funds are rested upon the Finance Subcommittee (FSC). The process:

4.2.1.1 The MCVP Finance i.e. FSC Chair evaluates the case with the Subcommittee and decides on key action steps regarding the same.

4.2.1.2 The Focus Commission is only notified regarding the decision (in the form of a detailed report of the Legal case and its reasons) taken with respect to the mobilization of the Legal reserve funds.

4.3 Reserve- Sustainable increase and refilling:

4.3.1 The legal reserve fund shall be subject to increment in the following process:

4.3.1.1 Every LC shall be made liable for payment of INR 5,000 as the aforesaid mentioned amount for increment of the fund. The payment of the calculated amount shall be made bi-annually to the reserve fund as invoiced by the member committee.

4.3.1.2 The invoice for the payment of the reserve fund shall be made out with Quarter 2 and Quarter 4 LC payments. Each local chapter is mandated to make the payment within 30 days of the invoice being sent across.

5. Entity Reserve Policy

5.1 Purpose:

5.1 The LC Reserve is subject to exist for use in times of an immediate emergency, which are the ones listed in the compendium under certain 'dire circumstances'. These 'dire circumstances' can be quoted or enlisted as follows:

5.1.1.1 In the event of a death or a serious injury of an individual (primary stakeholder) at the venue of the conference hosted by the Local Chapter for its membership (Local Congress).

5.1.1.2 In the case where the LC has to complete a payment for any ICB/ECB cases on the entity if the current Bank and Cash Balances are not sufficient to extend the payments towards the cause and/or if the amounts are not adjusted by the Member Committee as LC-MC Dues.

5.1.1.3 In case of any external factor restricting cashflows, the LC can take use reserves to support the administration and operations of the LC.

5.2 Decision Making Process:

5.2.1 The utilization of funds from the LC Reserves must be made strictly under the following process and failing any of the below steps will result in an immediate freezing of the account and a further inquiry on the usage of the funds along with relevant fines on the concerned entity.

5.2.2 The decision-making process with respect to the utilization of the funds lies with the Finance Task Force of the LC (a support body constituted on the EB headed by LCVP Finance) of the LC (referred to as FTF henceforth) subject to the approval of the MCVP F.

5.2.3 he LCVP Finance i.e. FTF Chair of the concerned LC calls for an FTF meeting, evaluation of the aforementioned cases/circumstances is/are done with the Task Force, and decisions on key action steps are taken. The entire meeting is minuted and action steps are drafted in terms of a detailed report of the necessary procedures to be implemented.

5.2.4 The detailed report and minutes of the meeting are to be sent across to the MCVP F for the purpose of 'approval' and the same will be acknowledged by the MCVP F. The MCVP F also plays a role in the capacity of giving suggestions/recommendations to the FTF of the Local Chapter in concern.

5.2.5 Post this approval process via email, the funds can be mobilized, and so forth be utilized accordingly under the constant monitoring and reporting to the MCVP F.

5.3 Amount of Reserves to be maintained:

5.3.1 The reserve amount to be maintained and sustained by the respective Entities is a calculated amount on the basis of the following factors which are basically classified as 'Fixed Costs' in the ratified budgets accordingly.

5.3.2 For Voting members, the following amount needs to be maintained:

- 5.3.2.1. 6 months of Administration expenses
- 5.3.2.2. 6 months of Affiliation fee to be paid from the LC to the MC
- 5.3.2.3. 3 months of HR Overhead expenses
- 5.3.2.4. 2 months of Operational expenses incurred by the LC

5.3.3 For SUs becoming LCs', the amount is half of the total number of exchanges in the period multiplied by the average of cost per exchange over the quarters that are being considered.

5.3.4 An entity that clears all debt to the MC at any point of the year will only be checked for the Reserve criteria at the next legislative meeting.

5.4 LC Reserve- Sustainable increase and refilling:

5.4.1 The LC reserve fund shall be subject to increment by the following process:

5.4.1.1 10% of LC annual profit announced at the AGM will go towards the purpose of the increment of the LC Reserve amount as per the discharged budget.

5.5 Additional Specific Clauses:

5.5.1 The concerned ratified budget of any operative current year cannot be changed. However, if there is an instance of re planning occurring, then there is an absolute need for the re planned budget to be ratified by the voting members of the Local Chapter in majority.

5.5.2 The LC Reserve account must be maintained and sustained as a 'separate' account; this is such that it facilitates a smooth utilization and mobilization of concerned funds in the case of any 'dire circumstances' as mentioned in main clause 1.1

5.5.3 The LC Reserve must be formed and maintained by a cumulative process i.e. inclusive of the sustainable increase and refilling.

5.5.4 For the process of amending the figures on the ratified budget sheets from AGM, the LCs must follow the process of re-ratification as mentioned below.

5.5.4.1 In the event of such re-ratification, the concerned LC must raise a request to the MCVP F via e-mail in the format prescribed by the MCVP F or a minimum of 21 Days in advance to the re-ratification forum in the LC.

5.5.4.2. Post the approval from the MCVP F, the concerned LC can begin to make edits on the budget sheet in the process and format prescribed by the MCVP F.

5.5.4.3. Post the changes, the respective LC must seek approval from the MCVP F on the proposed changes with suitable and valid explanations on the changes to the MCVP F made via e-mail or any other format prescribed by the MCVP F.

5.5.4.4 Post this stage of approval, a formal forum must be called for with the voting members for the facilitation of re-ratification.

5.5.4.5 The entire forum must be minuted in detail and submitted to the MCVP F post the meeting or forum.

5.5.4.6 The forum must contain and is not limited to; explanation of the proposed changes and their consequences along with comparative analysis from the existing budget.

5.5.4.7 The changes made in the budget must be passed by a simple majority of the voting members of the respective LC.

5.5.5 Entity reserves can not be increased by means of the addition of money to the account, by the respective Entity, in the circumstances of any outstanding dues to the Member Committee and/or any other Entity and if the bank balance at the point of addition is less than the amount equivalent to the affiliation fees of the LC for the next 2 quarters.